

Jones, the Russell 2000, and the S&P 500. Eventually, the Nasdaq caught up. Having collapsed 81% from its March 2000 peak, it soon recovered to its prior highs, and blew past other indices. A new secular cycle had begun.

No two cycles are identical. The first half of the 2010s expansion was a typical post-credit crisis recovery. Historically, these have been weaker than the usual recession recoveries.¹⁸⁴ The 2010 cycle was subpar GDP, weak job growth, and poor retail sales. Despite this, the markets powered higher. The connection between the economy and what is reflected in the earnings of publicly traded companies is much looser than many people realize.

The folks I know who worked on The Street in the 1970s and 1980s—people like Jeff Saut, former chief strategist at Raymond James, or Ralph Acampora, the former director of technical analysis for Prudential Securities and founder of the Market Technicians Association—all commented about how similar the sentiment was in the early 2010s to the environment in the early 1980s. No one back then seemed to be willing to accept that the 1970s bear market was over. The pain was still too fresh, the muscle memory too strong, and so the same skepticism prevailed.

The big difference was how aggressive the post-GFC Federal Reserve was. The era of quantitative easing (QE) and zero interest rate policy (ZIRP) was conducted on a scale that never happened before.

I recall discussing this in a canoe at Camp Kotok with my friend Jim Bianco of the highly regarded Bianco Research. Bianco pointed out that with rates at zero, money had nowhere else to go but into equity markets. I reach a similar conclusion, but from a different angle: I *always* want to be an aggressive buyer anytime US markets are cut in half—and from the October 9 highs in 2007 to the March 9 lows in 2009, the S&P 500 fell 56.8%.¹⁸⁵

In the summer of 2009, when Jim and I were fishing in Maine, both of these positions were outliers. The psychology of the moment did not allow many people to see the rationality of these views.